used all the tricks of the trade—from forging KYC to getting PAN cards issued in fictitious names and then using the fake PAN cards to open multiple accounts in the name of non-existing firms to layer the money. The probe into the accounts of these firms and the whole racket of money-laundering in Jharkhand reveals that an estimated Rs 100 crore has moved.

BANKING ON THE BANKS

According to the ED probe, the photo of one Tara Chand was used to get three PAN cards issued in the name of Sachin Gupta, a fake identity. These PAN cards were used to open three proprietorship bank accounts in the name of Khatushyam Traders, Anil Kumar Govind Ram Traders and Om Traders in ICICI Bank and another in Gupta's name in an IDBI Bank account. The agency's field enquiry found that the address of Khatushyam Traders was fake and there was no business entity at the addresses mentioned for Anil Kumar Govind Ram Traders and Om Traders. Chand has admitted that he used Photoshop to create fake documents to open these accounts only to facilitate money-laundering. Ram was just one of the beneficiaries. The ED raid at Chand's house in Delhi's Rohini locality threw up Rs 16.90 lakh in cash, eight mobile phones and four sets of Aadhaar and PAN cards with different names.

The whole operation reveals how the launderers hoodwink the system that otherwise has checks and balances in place to prevent financial crimes. If Chand could evade the tax radar and use fake Aadhaar and PAN cards to open bank accounts and undertake huge transactions, it was apparently because the banking system did not verify his documents, claims a source from the income tax department.

Worse still, while these three fake bank accounts received and transacted over Rs 115 crore in the last two financial years alone, no income tax return was filed in the name of the fictitious entity. An official source believes that the money-launderers may have moved the entire funds to new accounts that they may have opened to continue dodging the system—perhaps before tax officials got a whiff of the high-value transactions. Also, as the PAN cards were fake, the tax officials would not have immediately known to whom the funds belonged, the IT source said.

Another clue that the banks appear to have overlooked is that all three PAN cards were issued in the same name (Sachin Gupta), with the same date of birth (12/08/1976) and the same father's name (Ashrafi Lal Gupta). According to a senior IT officer, the algorithm should have red-flagged the similarity. The bank too seems to have failed to report the high-value transactions to the IT department, he says. With the Central Board of Direct Taxes asking taxpayers to link their PAN with Aadhaar by June 30, the one gaping hole in the banking system will hopefully be plugged, says the IT officer.

THE HAUL

Recovered so far from Virendra Ram and his family

- ₹39.28 CR. Worth of properties
- ₹2.87 CR. Cash*
- ₹1.5 CR. Worth of jewellery
- 3 Toyota Fortuners
- 2 Audi cars
- 1 Skoda car
- 1 Toyota Innova

*Includes Jharkhand ACB's 2019 seizure

A TWIST OF FATE

The ED landed at Ram's doorstep during the course of probing a four-year-old case in which the Jharkhand Anti-Corruption Bureau (ACB) in November 2019 had nabbed Jamshedpur-based junior engineer Suresh Verma while accepting a Rs 10,000 bribe the same year.

Verma was not connected to Ram in any way. However, as the ACB conducted a follow-up search at Verma's home on the day of his arrest in November 2019, it found his tenant Alok Ranjan, a law student, with Rs 2.67 crore in his room. The cash, Ranjan confessed, belonged to his cousin Ram and was only with him for safekeeping. For some reason, the ACB decided not to press charges against Ram, who also did not come forward to claim the cash. However, it did file a chargesheet against Verma and Ranjan apparently without any further effort to track the source of the money seized.

A twist in the tale came a year later when the ED registered a money-laundering case pertaining to the ACB seizure in September 2020. However, it was only in 2022 that the probe gained momentum, tracing the seized cash back to Ram.

THE ED IN JHARKHAND

Since May 2022, when the ED arrested then-Jharkhand mining secretary and senior IAS officer Pooja Singhal and recovered Rs 19 crore from the possession of a CA allegedly linked to her, the agency has made much headway in its anti-corruption drive, creating a storm in the state, that has not left even Chief Minister Hemant Soren untouched.

From interrogating Soren and two more IAS officers—former principal secretary to the CM Rajiv Arun Ekka and Sahibganj Deputy Commissioner Ramniwas Yadav—in separate cases to arresting IAS officer Chhavi Ranjan for an alleged land scam and Soren's constituency representative Pankaj Mishra for an alleged mining scam, the ED has emerged as a new threat to the powerful and well-connected in Jharkhand. Since November 2020, when Jharkhand withdrew general consent to the Central Bureau of Investigation disallowing it from carrying out an investigation without the state government's permission, the state has largely been the ED's playground. And the watchdog is ensuring that it is giving offenders sleepless nights. ■